INDIAN PHARMACEUTICAL EQUITY RESEARCH

5–10 YEAR GROWTH INVESTMENT STUDY

Comparative assessment of 10 major Indian listed pharmaceutical companies across quality, growth, competitive moat, innovation, chronic-disease exposure, CDMO/API opportunity and valuation.

10	5–10Y	10	FY25
Companies	Horizon	Themes	Core financial base

REPORT BY

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Prepared: August 2026

DATA CUT-OFF

FY2025 core financial comparison • Selected FY2026 developments • Market valuation snapshot: 17 July 2026

Purpose

A clean, submission-ready equity research study designed to compare business quality, structural growth opportunities and valuation discipline across India's listed pharmaceutical leaders.

Executive Summary

A decision-oriented opening replacing the earlier text-heavy first page.

CORE QUALITY	GROWTH	VALUE / TURNAROUND	HIGH UPSIDE
Sun Pharma Scale + specialty franchise	Zydus Lifesciences Pipeline + diversified growth	Lupin Strong FY25 operating recovery	Natco Pharma Niche oncology / complex generics

Investment conclusion

Indian pharma is structurally attractive, but the sector is not homogeneous. The strongest long-term themes are chronic disease, specialty therapies, biosimilars, oncology, respiratory care and global outsourcing. The investment opportunity depends on the combination of earnings durability, pipeline quality and the valuation paid for that growth.

Core quality	Growth	Value / turnaround	Asymmetric upside
Sun / Cipla	**Zydus / Laurus**	**Lupin**	**Natco**
Scale + diversified platforms	Pipeline / CDMO optionality	FY25 recovery and capital efficiency	Niche products can create outsized earnings

What was fixed

- Professional cover, author attribution and data-cutoff statement.
- Consistent peer table with NSE ticker, ISIN, revenue, P/E and ROCE.
- Charts and diagrams replacing text-only sections.
- Two-company profile pages to remove excessive white space.
- Readable disease/capability matrix and strategic ranking.
- Expanded source register using company investor-relations materials plus a clearly labelled market-data source.

Important limitation

This is independent research, not a SEBI-registered investment-advisory or research report. Market ratios are point-in-time observations and should be refreshed before any real investment decision.

Research Methodology & Data Architecture

Layer	What is assessed	Weight / role
Business quality	Scale, franchise strength, diversification, margins and balance-sheet resilience	Core qualitative filter
Growth	Chronic therapies, specialty medicines, biosimilars, CDMO/API, global expansion and product pipeline	Primary 5–10Y driver
Competitive moat	Regulatory track record, manufacturing capabilities, distribution, IP/complex-generic know-how and brand strength	Durability filter
Valuation	P/E and ROCE are shown together to distinguish expensive quality from lower-priced quality	Market check
Risk	US price erosion, regulatory events, concentration, execution, pipeline and valuation risk	Downside control

Evidence hierarchy

• Primary: company annual reports, investor presentations, audited financial results and official investor-relations pages.

• Secondary: NSE / BSE corporate filings and market-data pages for valuation snapshots.

• Analyst interpretation: rankings, opportunity scores and 5–10 year thematic conclusions.

Consistency rules

FY2025 revenue figures are consolidated wherever available. P/E and ROCE are shown as market snapshots and are therefore not directly comparable to FY2025 accounting periods. Where a product-level statement in the earlier report could not be confidently supported, it has been removed rather than repeated.

Peer Snapshot — The 10-Company Universe

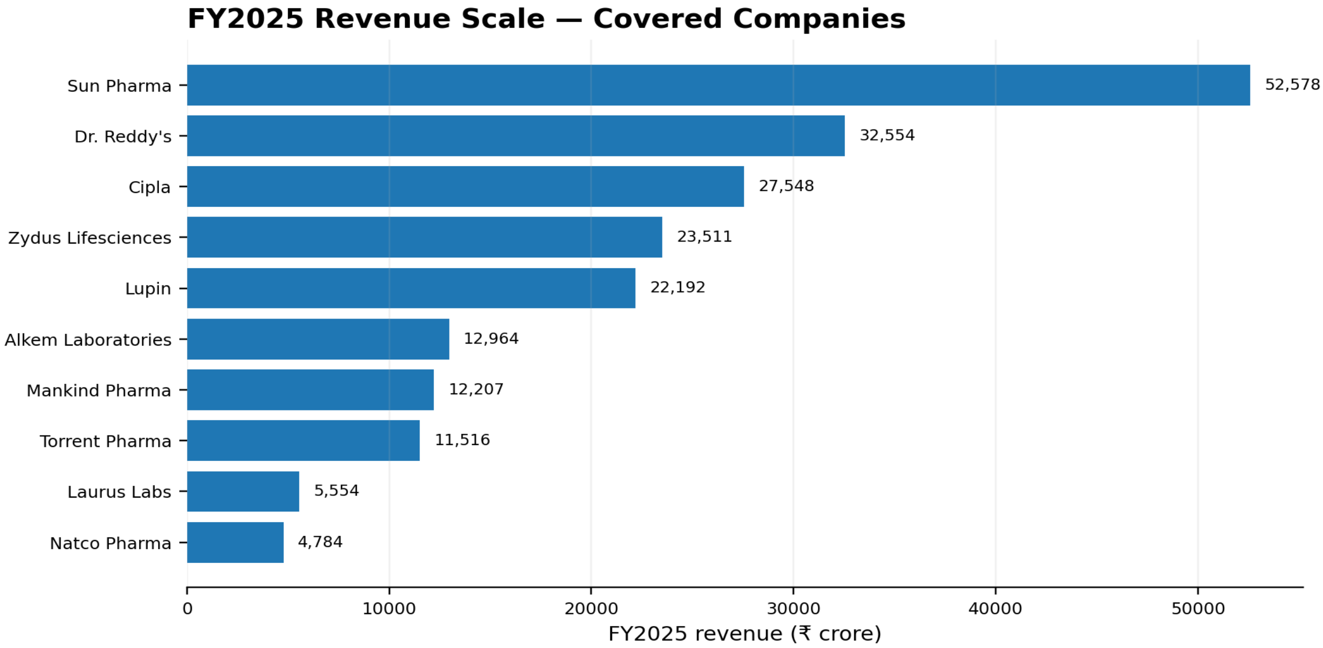
Company	NSE	ISIN	FY25 Rev. ₹cr	P/E*	ROCE*	5–10Y role
Sun Pharma	SUNPHARMA	INE044A01036	52,578	157.0×	14.8%	Core quality / specialty
Cipla	CIPLA	INE059A01026	27,548	33.3×	13.7%	Core chronic / respiratory
Dr. Reddy's	DRREDDY	INE089A01031	32,554	33.0×	12.1%	Diversified global
Natco Pharma	NATCOPHARM	INE987B01026	4,784	13.2×	16.6%	High risk / high upside
Laurus Labs	LAURUSLABS	INE947Q01028	5,554	92.4×	17.8%	CDMO growth
Zydus Lifesciences	ZYDUSLIFE	INE010B01027	23,511	30.9×	16.6%	Growth + innovation
Torrent Pharma	TORNTPHARM	INE685A01028	11,516	72.9×	19.8%	Chronic franchise
Lupin	LUPIN	INE326A01037	22,192	19.4×	26.2%	Turnaround / value
Mankind Pharma	MANKIND	INE634S01028	12,207	48.3×	13.5%	Domestic growth
Alkem Laboratories	ALKEM	INE540L01014	12,964	28.9×	19.9%	Quality domestic franchise

* Market-data ratios: Screener snapshot dated 17 July 2026. FY2025 revenues are based on company disclosures.

Highest FY25 scale	Highest ROCE snapshot	Lowest P/E snapshot	Highest P/E snapshot
Sun Pharma — ₹52,578 cr	**Lupin — 26.2%**	**Natco — 13.2×**	**Sun Pharma — 157×**

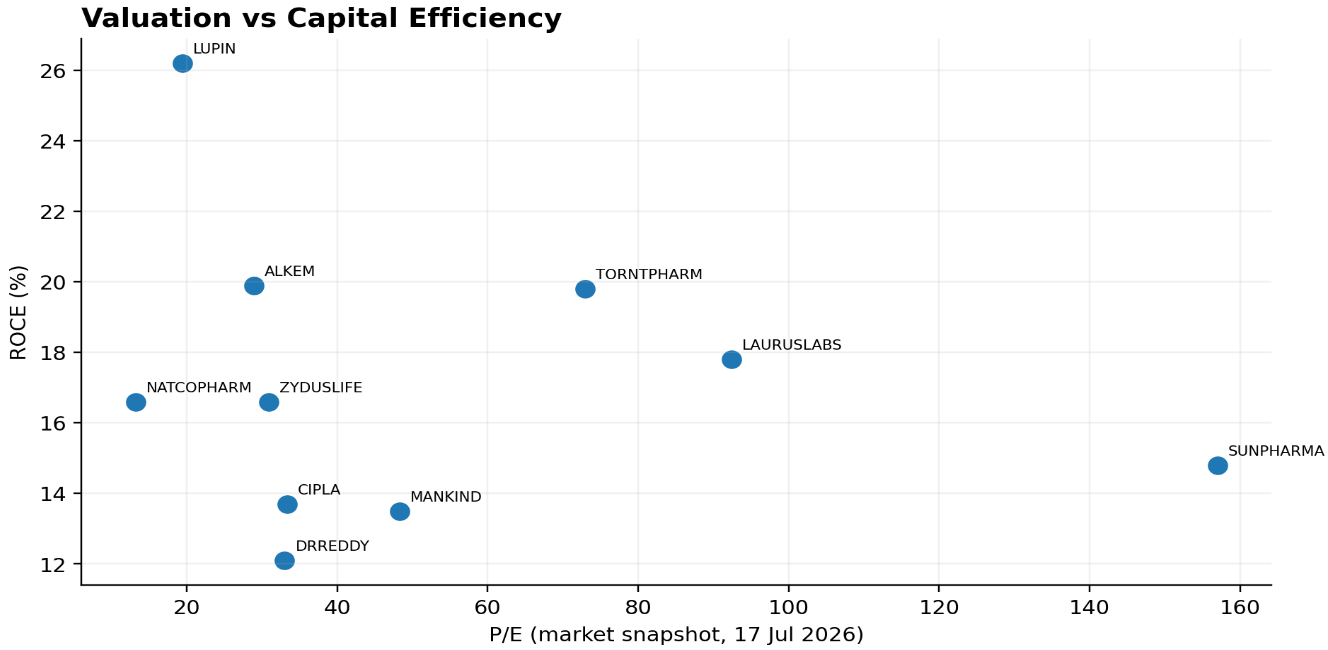
Interpretation: extreme P/E values can be distorted by earnings bases, exceptional items or market expectations; they should never be used alone.

Scale, Profitability & Capital Efficiency



READ-THROUGH	WHAT IT MEANS
Scale	Large platforms can spread R&D;, compliance and manufacturing costs over a broader revenue base.
ROCE	Higher capital efficiency can support compounding if the earnings base is durable.
Valuation	A strong business can still be a weak stock if expectations are already embedded in price.

Valuation vs Capital Efficiency



How to read the chart: companies in the upper-left combine higher ROCE with lower P/E and deserve closer attention for valuation efficiency. Companies in the upper-right may be high-quality businesses whose valuation already embeds substantial expectations. This is a screening lens, not a target-price model.

Long-Term Structural Themes

Theme	Why it matters over 5–10 years	Companies with meaningful exposure	Main risk
Chronic disease	Diabetes, hypertension, respiratory and other chronic conditions support recurring prescription demand.	Cipla, Lupin, Torrent, Sun, Zydus, Mankind	Pricing / competition
Respiratory	Asthma and COPD create a durable inhalation and chronic-care market.	Cipla, Lupin, Torrent	Device / regulatory execution
Oncology	Complex generics, injectables and targeted therapies can carry attractive economics.	Natco, Zydus, Sun, Dr. Reddy's, Lupin	Clinical / regulatory risk
Biosimilars	Patent expiries and biologics access can expand the addressable market.	Zydus, Dr. Reddy's, Lupin, Cipla	Development cost / competition
CDMO / API	Global pharma outsourcing supports demand for reliable Indian manufacturing.	Laurus, Natco, Dr. Reddy's, Zydus	Capacity / client concentration
Obesity / metabolic	GLP-1 and metabolic therapies are a major emerging opportunity.	Zydus, Cipla, Dr. Reddy's, Lupin	Pipeline, IP and access

Theme map: analyst interpretation based on disclosed portfolios and strategic direction. Exposure does not imply guaranteed future revenue.

Sun Pharma & Cipla — Comparative Company Views

Two-company format improves scanability and removes excessive white space.

Sun Pharma

NSE	FY25 Rev.	P/E*	ROCE*
SUNPHARMA	₹52,578 cr	157.0×	14.8%

Business thesis

Largest Indian pharma platform with global branded-generics, generics and specialty exposure. The strategic differentiator is its scale plus specialty franchise, particularly in dermatology and other high-value segments.

Key strengths

- Scale and geographic diversification
- Specialty portfolio can support higher-value growth
- Large R&D; and regulatory platform

Key risks

- Valuation sensitivity
- Specialty launches and patent outcomes
- US regulatory / pricing environment

Analyst stance: Core quality; prefer valuation discipline.

ISIN: INE044A01036

Cipla

NSE	FY25 Rev.	P/E*	ROCE*
CIPLA	₹27,548 cr	33.3×	13.7%

Business thesis

Diversified branded-generics and generics company with strong India and respiratory exposure plus North America and Africa businesses. FY25 revenue was ₹27,548 crore and EBITDA margin was 25.9%.

Key strengths

- Respiratory franchise and chronic-care positioning
- Large India franchise plus global diversification
- Strong FY25 profitability

Key risks

- US price erosion
- Execution in respiratory / complex products
- Valuation versus growth

Analyst stance: Core chronic / respiratory candidate.

ISIN: INE059A01026

* P/E and ROCE are point-in-time market observations from 17 July 2026.

Dr. Reddy's & Natco Pharma — Comparative Company Views

Two-company format improves scanability and removes excessive white space.

Dr. Reddy's

NSE	FY25 Rev.	P/E*	ROCE*
DRREDDY	₹32,554 cr	33.0×	12.1%

Business thesis

Global generics, APIs, biosimilars and differentiated products platform. FY25 total revenues grew 17% to ₹32,553.5 crore, supported by acquisitions and base-business growth.

Key strengths

- Global platform and regulatory capabilities
- Biosimilars / differentiated portfolio
- Strong cash generation

Key risks

- North America / Europe pricing
- Integration and execution
- Pipeline conversion

Analyst stance: Diversified global compounder.

ISIN: INE089A01031

Natco Pharma

NSE	FY25 Rev.	P/E*	ROCE*
NATCOPHARM	₹4,784 cr	13.2×	16.6%

Business thesis

Smaller, R&D-led; company focused on complex products, niche therapies, APIs and contract manufacturing. Its economics can be highly sensitive to specific launches and product opportunities.

Key strengths

- Niche oncology and complex generics
- Integrated API / formulation capabilities
- Potential for high incremental earnings

Key risks

- Concentration risk
- Launch timing / litigation / regulation
- Earnings volatility

Analyst stance: High-risk / high-upside satellite.

ISIN: INE987B01026

* P/E and ROCE are point-in-time market observations from 17 July 2026.

Laurus Labs & Zydus Lifesciences — Comparative Company Views

Two-company format improves scanability and removes excessive white space.

Laurus Labs

NSE	FY25 Rev.	P/E*	ROCE*
LAURUSLABS	₹5,554 cr	92.4×	17.8%

Business thesis

API, formulations and CDMO-oriented platform. FY25 revenue reached ₹5,554 crore, with CDMO execution and margin expansion supporting a strong year.

Key strengths

- CDMO scale-up potential
- API and manufacturing know-how
- Biotech / biologics capabilities

Key risks

- Premium valuation
- Customer concentration
- Capacity execution

Analyst stance: Growth at the right valuation.

ISIN: INE947Q01028

Zydus Lifesciences

NSE	FY25 Rev.	P/E*	ROCE*
ZYDUSLIFE	₹23,511 cr	30.9×	16.6%

Business thesis

Diversified life-sciences company spanning formulations, APIs, consumer health and innovative / biosimilar products. FY25 consolidated revenue was about ₹23,511 crore.

Key strengths

- Diversified pipeline and R&D;
- Biosimilars / complex products
- India and international growth

Key risks

- Pipeline and regulatory risk
- Working-capital intensity
- Valuation

Analyst stance: Top growth / innovation candidate.

ISIN: INE010B01027

* P/E and ROCE are point-in-time market observations from 17 July 2026.

Torrent Pharma & Lupin — Comparative Company Views

Two-company format improves scanability and removes excessive white space.

Torrent Pharma

NSE	FY25 Rev.	P/E*	ROCE*
TORNTPHARM	₹11,516 cr	72.9×	19.8%

Business thesis

Specialty-focused branded-generics business with strong cardiovascular, CNS, GI and other chronic / sub-chronic exposure. FY25 revenue was ₹11,516 crore.

Key strengths

• Strong chronic franchise

• India brand depth

• International presence

Key risks

• High valuation

• US generic execution

• Growth expectations

Analyst stance: Quality chronic franchise; valuation-sensitive.

ISIN: INE685A01028

Lupin

NSE	FY25 Rev.	P/E*	ROCE*
LUPIN	₹22,192 cr	19.4×	26.2%

Business thesis

Global formulations, biotechnology and API platform with strong exposure to respiratory, cardiovascular, diabetology and other therapies. FY25 sales were ₹22,192 crore and EBITDA margin reached 24.7%.

Key strengths

• Strong FY25 profitability recovery

• Respiratory and chronic-care positioning

• Net-cash balance sheet at FY25 year-end

Key risks

• Sustainability of margin improvement

• US exposure

• Pipeline execution

Analyst stance: Value / turnaround candidate.

ISIN: INE326A01037

* P/E and ROCE are point-in-time market observations from 17 July 2026.

Mankind Pharma & Alkem Laboratories — Comparative Company Views

Two-company format improves scanability and removes excessive white space.

Mankind Pharma

NSE	FY25 Rev.	P/E*	ROCE*
MANKIND	₹12,207 cr	48.3×	13.5%

Business thesis

Fast-growing Indian formulations and consumer-health platform with expanding chronic and specialty exposure. FY25 reported revenue was ₹12,207 crore.

Key strengths

- India prescription growth
- Volume-led domestic franchise
- Chronic and specialty expansion

Key risks

- Premium valuation
- Execution after expansion / acquisitions
- Margin expectations

Analyst stance: Domestic growth candidate; valuation matters.

ISIN: INE634S01028

Alkem Laboratories

NSE	FY25 Rev.	P/E*	ROCE*
ALKEM	₹12,964 cr	28.9×	19.9%

Business thesis

Large Indian formulations company with more than 800 brands and a broad domestic franchise. FY25 consolidated revenue was ₹12,964.5 crore and EBITDA margin was 19.4%.

Key strengths

- Strong domestic brand portfolio
- R&D; and manufacturing footprint
- Chronic therapy expansion

Key risks

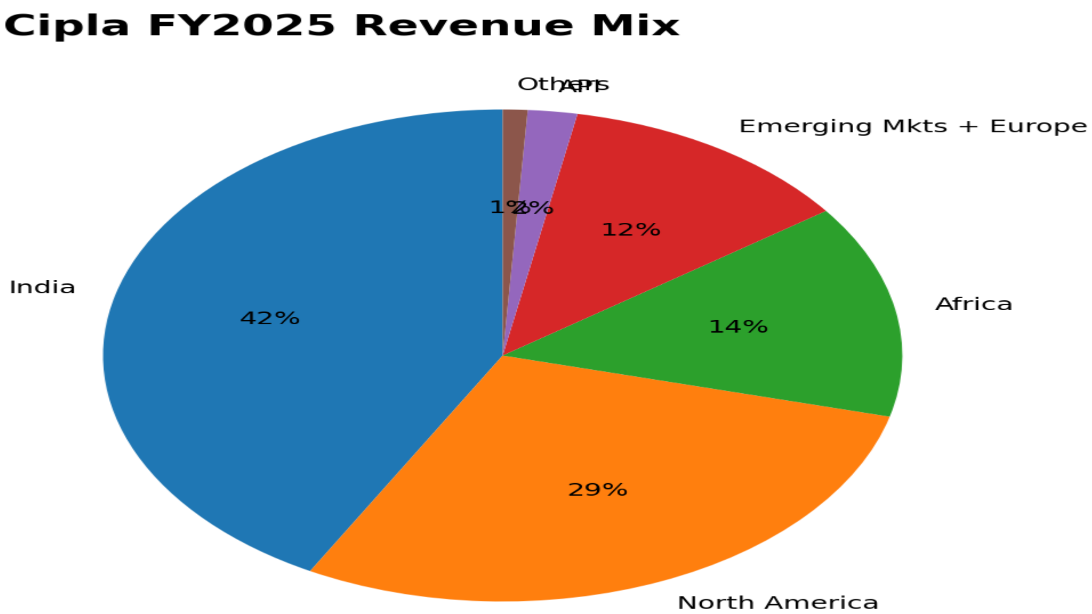
- Moderate growth
- Acquisition / capital allocation risk
- Valuation

Analyst stance: Quality domestic franchise.

ISIN: INE540L01014

* P/E and ROCE are point-in-time market observations from 17 July 2026.

Cipla — Geographic Diversification

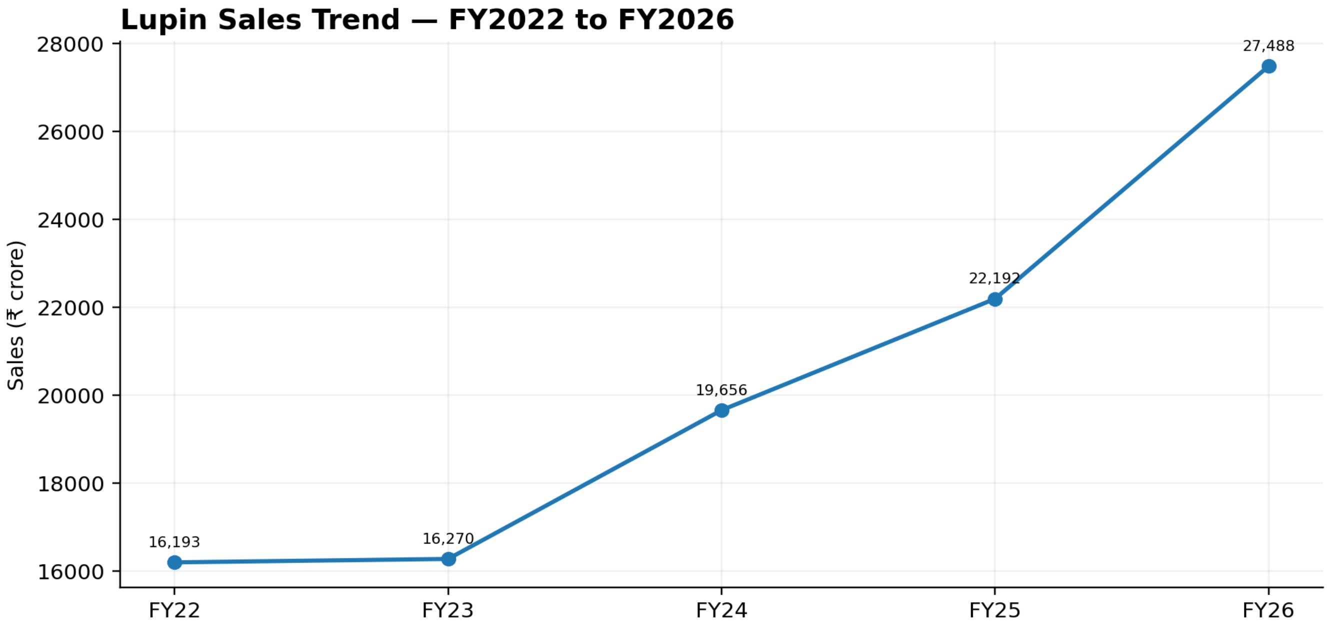


FY2025 revenue mix: India 42%, North America 29%, Africa 14%, Emerging Markets & Europe 12%, API 2% and Others 1%. The mix shows a relatively balanced platform rather than dependence on one geography.

Investment read-through

Cipla's long-term appeal comes from combining a large India franchise with global respiratory and chronic-care capabilities. The key watch item is whether growth can remain strong enough to justify the valuation while protecting margins in the US.

Lupin — Turnaround Evidence



FY25 sales were ₹22,192 crore. FY26 sales rose to ₹27,487.5 crore and EBITDA margin increased to 33.6%. This creates a powerful earnings base, but also raises the bar for future execution.

Key question for investors

How much of the FY26 margin improvement is structural versus cyclical, product-mix driven or linked to temporary benefits? The answer determines whether the current valuation represents value or merely reflects a strong earnings peak.

Disease & Capability Opportunity Matrix

Theme	Cipla	Sun	Zydus	Natco	Dr. Reddy's	Laurus	Torrent	Lupin	Mankind	Alkem
Respiratory	5	2	3	1	3	1	4	5	3	2
Oncology	4	4	5	5	4	1	2	3	2	3
Diabetes / obesity	4	3	5	1	3	1	2	3	3	3
Cardiovascular	4	3	3	2	2	1	5	4	4	4
CDMO / API	2	2	3	5	4	5	2	3	1	3
Biosimilars	3	3	4	1	4	1	1	3	2	2

Scoring guide: 5 = strong strategic relevance; 1 = limited exposure. Scores are analyst judgments and should not be interpreted as market-share data.

5–10 Year Strategic Ranking

Category	1st	2nd	3rd	Why it matters
Overall quality	Sun Pharma	Cipla	Dr. Reddy's	Scale, diversification, regulatory and R&D; capabilities
Growth / innovation	Zydus	Laurus	Torrent	Pipeline, specialty, CDMO and chronic opportunities
Value / turnaround	Lupin	Natco	Cipla	Potential mismatch between earnings power and valuation
Chronic disease	Cipla	Lupin	Torrent	Recurring prescription demand and therapeutic depth
CDMO / API	Laurus	Natco	Dr. Reddy's	Global outsourcing and technical manufacturing
Oncology	Natco	Zydus	Sun Pharma	Complex generics, specialty and biosimilar optionality

Portfolio construction view

Core anchors: Sun / Cipla / Lupin. Growth: Zydus / Laurus. Asymmetric satellite: Natco. Valuation-sensitive quality: Torrent / Mankind / Alkem. Diversified global: Dr. Reddy's.

Risk Matrix & Monitoring Checklist

Risk	Most exposed	What to monitor	Investor response
US price erosion	Sun, Cipla, Dr. Reddy's, Lupin	Product concentration, gross margin, new approvals	Track quarterly mix and margin
Regulatory / USFDA	All exporters	Warning letters, remediation, inspection outcomes	Avoid single-event assumptions
Pipeline failure	Zydus, Natco, Laurus	Clinical / filing milestones and launches	Use probability-weighted thinking
Valuation compression	Laurus, Torrent, Mankind, Sun	P/E vs earnings growth and ROCE	Demand margin of safety
Concentration	Natco / CDMO-heavy names	Single products, customers or geographies	Size positions accordingly

Five questions before buying

• Is the current earnings base sustainable, or temporarily elevated by one product?

• What is the next 3–5 year source of incremental earnings?

• Does the valuation already discount that growth?

• What single regulatory, product or geography risk can materially hurt earnings?

• Would the thesis still work if the P/E multiple contracts by 20–30%?

Final Dashboard & Investor Takeaways

Company	Quality	Growth	Valuation lens	Risk	5–10Y role
Sun Pharma	Very High	High	Premium / needs normalization	Medium	Core quality
Cipla	High	High	Moderate	Medium	Core chronic
Dr. Reddy's	High	High	Fair-to-premium	Medium	Diversified global
Natco Pharma	Medium	Very High	Low multiple	High	Satellite upside
Laurus Labs	High	Very High	Very premium	High	Growth satellite
Zydus Lifesciences	High	Very High	Growth-priced	Medium	Growth core
Torrent Pharma	High	High	Premium	Medium	Chronic quality
Lupin	High	High	Relatively moderate	Medium	Value / turnaround
Mankind Pharma	High	High	Premium	Medium	Domestic growth
Alkem Laboratories	High	Moderate	Fair	Medium	Domestic quality

Bottom line

A 5–10 year pharma portfolio should combine durable franchises with selected growth optionality and a margin of safety. The report's preferred framework is to avoid buying every good company and instead focus on the best combination of business quality, future earnings growth and entry valuation.

Before capital deployment, refresh the valuation table with the latest market price and latest quarterly earnings and build bull / base / bear cases for the shortlisted names.

References & Source Register

Source	Document / purpose	Link
Sun Pharma	Annual reports & presentations	https://sunpharma.com/investors-annual-reports-presentations/
Cipla	FY2025 investor presentation / annual report	https://www.cipla.com/
Dr. Reddy's	Integrated Annual Report 2024-25	https://www.drreddys.com/
Natco Pharma	Annual Report 2024-25 / investor relations	https://www.natcopharma.co.in/investor-relations/
Laurus Labs	Integrated Annual Report 2024-25	https://www.lauruslabs.com/images/pdfs/Annual_Report_2024-25.pdf
Zydus Lifesciences	Integrated Annual Report 2024-25	https://www.zyduslife.com/
Torrent Pharma	Annual Report / FY25 analyst presentation	https://www.torrentpharma.com/investors/overview/
Lupin	FY2025 results / integrated report	https://www.lupin.com/media/press-releases/lupin-fy2025-results
Mankind Pharma	FY2025 investor relations / annual report	https://www.mankindpharma.com/investors-relations/
Alkem Laboratories	FY2025 annual report / investor presentation	https://www.alkemlabs.com/investors/annual-reports
NSE India	Annual reports / listed-company filings	https://www.nseindia.com/companies-listing/corporate-filings-annual-reports
Screener	Market snapshot used for P/E, market cap and ROCE; snapshot dated 17 Jul 2026	https://www.screener.in/

Selected primary-source evidence used

- Sun Pharma FY2024-25 annual report and investor presentations.
- Cipla FY25 investor presentation and annual report.
- Dr. Reddy's FY2024-25 integrated annual report.
- Natco Pharma FY2024-25 annual report.
- Laurus Labs FY2024-25 integrated annual report.
- Zydus Lifesciences FY2024-25 integrated annual report.
- Torrent Pharma FY2024-25 annual report and analyst presentation.
- Lupin FY2025 results and FY2025-26 integrated report.
- Mankind Pharma FY2025 investor relations and results release.
- Alkem Laboratories FY2024-25 annual report and investor presentation.
- NSE India corporate-filings / annual-report portal.
- Screener market snapshot for P/E, market cap and ROCE, dated 17 July 2026.

Prepared by: NAVEEN NK

Independent research report • August 2026

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